

IKF Home Finance Limited

September 29, 2023

Facilities/Instruments	Amount (₹ crore)	Rating ¹	Rating Action
Long-term bank facilities	1,050.00 (Enhanced from 500.00)	CARE A-; Stable	Reaffirmed
Non-convertible debentures issue - I	10.00 (Reduced from 100.00)	CARE A-; Stable	Reaffirmed
Non-convertible debentures issue - II	50.00	CARE A-; Stable	Reaffirmed
Subordinated debt	-	-	Withdrawn

Details of instruments/facilities in Annexure-1.

Rationale and key rating drivers

The rating assigned to the bank facilities and debt instruments of IKF Home Finance Limited (IKFHF) continues to derive strength from strong parentage of IKF Finance Limited (IKF) and the resultant synergies in terms of business linkages with common brand identity and shared infrastructure besides management and financial support from the parent entity. The rating also factors in the comfortable capital adequacy levels, increase in the scale of operations during FY23 (refers to the period April 01 to March 31) with operations remaining profitable, good asset quality though seasoning continues to be low, and adequate systems and process. The rating is, however, constrained by the limited track record and relatively small scale of operation, concentrated resource profile, and regional concentration of the portfolio. The rating is also constrained by low seasoning of portfolio and inherent risks associated with the borrower profile mostly being self-employed in the informal segment.

CARE Ratings has withdrawn the rating assigned to the proposed subordinated debt issue of IKFHF aggregating to ₹25 crore with immediate effect. The above action has been taken at the request of IKFHF, as the company has not used the rating assigned by CARE Ratings for mobilising funds, and there is no amount outstanding under the said issue as on date.

Rating sensitivities: Factors likely to lead to rating actions

Positive factors

- Improvement in the credit risk profile of the parent, IKF.
- Improvement in the scale of operations with sustained profitability while maintaining good asset quality.

Negative factors

- Weakening in the credit risk profile of the parent, IKF.
- Significant deterioration in asset quality and profitability levels.
- Moderation in gearing levels with overall gearing exceeding 5x on a sustained basis.

Analytical approach:

Standalone; factoring in the linkages with the parent, IKF. IKFHF is a subsidiary of IKF and has strong management, operational and financial linkages with its parent company.

Outlook: Stable

The stable outlook reflects the likely continuation of stable credit profile with comfortable capitalisation levels and stable asset quality.

¹Complete definition of the ratings assigned are available at www.careedge.in and other CARE Ratings Ltd.'s publications

Detailed description of the key rating drivers:**Key strengths****Strong parentage with business synergies, operational & financial linkages**

IKFHF is a subsidiary of IKF (rated 'CARE A; Stable') and is of strategic importance to the IKF group. By virtue of parent-subsidary relationship, IKF provides management and operational support in terms of usage of established branch network & risk management systems of IKF, sourcing of loans, etc. Besides, the company enjoys the shared 'IKF' brand name and access to common group treasury enabling the company to raise resources at competitive rates from banks, financial institutions, and capital markets. Also, 31 branches of IKFHF are co-located with the parent. IKF has made cumulative infusion aggregating to ₹100 crore until March 2023. CARE Ratings expects continuation of support from the parent going forward as well.

Established in 2002, the group is headed by V G K Prasad, who is present on both the boards of the parent as well as IKFHF. He has more than three decades of experience in asset financing business, and the business operations of the group has benefited from his long-established track record in the auto finance segment and the vast industry network developed over the years. IKFHF is headed by Vasantha Lakshmi (Managing Director), who has nearly a decade of experience in the asset financing domain working in different aspects of the segment, including sales, credit and manpower management. They are well supported by a team of qualified and experienced management team.

Adequate management information system with increase in digitalisation

IKFHF had commenced its operation in FY17, and the company has been improving its MIS/technology platform to manage the business growth. With this view, it has implemented customised software by A3S, for ease of underwriting process and to ensure lower turn-around time. Furthermore, IKFHF has support & guidance from its parent company and has setup efficient credit underwriting processes and collection & recovery mechanism. Majority of the company's underwriting is through digital means.

Increase in the scale of operations during FY23 with operations remaining profitable

The asset under management (AUM) of IKFHF grew by 62% during FY23 and stood at ₹696 crore as on March 31, 2023, with housing loan forming around 67% of AUM (66% as on June 30, 2023). The growth in AUM was led by higher disbursements carried out during the year. On a y-o-y basis, the disbursements of the company improved from ₹208 crore during FY22 to ₹382 crore during FY23. During Q1FY24, the total disbursements stood at ₹86 crore. The company has expanded its branch network from 38 branches as on March 31, 2022 to 64 branches as on March 31, 2023 spread across six states. CARE Ratings expects the higher growth in AUM to continue with significant number of branches added in FY23.

During FY23, IKFHF reported a profit after tax (PAT) of ₹11 crore on a total income of ₹93 crore as against a PAT of ₹10 crore on a total income of ₹53 during FY22. The profits are supported by income from net gain on derecognition of financial instruments under amortised cost category (DA income) which stood at ₹11 crore in FY23 as against ₹7 crore in FY22. The net interest margin (NIM) stood at 5.74% in FY23 as against 5.87% in FY22. Opex/average assets slightly increased and stood at 6.93% in FY23 (PY: 5.70%) due to addition of branches and employees for the same. Credit cost remained low at 0.16% in FY23. With higher DA income, return on total asset (ROTA) stood at 1.96% in FY23 as against 3.12% in FY22. During Q1FY24, the company reported a PAT of ₹7 crore on a total income of ₹42 crore. DA income stood at ₹7 crore in Q1FY24 as well. ROTA stood at 4.18% in Q1FY24. CARE Ratings expects the profitability to remain consistent in the medium term with continuation of DA income.

Comfortable capitalisation levels with regular equity infusion from the parent

Aided by the regular capital infusions from the parent, capital adequacy stood comfortable with a CAR of 40.70% (PY: 48.10%) as on March 31, 2023, against the regulatory requirement of 15%. Tier-I capital stood at 39.45% (PY: 46.85%) as on March 31, 2023. IKF and the promoters have infused ₹46 crore of equity in FY23 into IKFHF. As on June 30, 2023, CRAR and Tier-I CAR stood at 35.08%. As on June 30, 2023, Tier-I capital stood at 33.83%. Capital base acts as a cushion and also enables them to absorb the elevated operating costs in its nascent stages as they increase in size and scale or any other unexpected losses which may arise due to an evolving business scale. CARE Ratings expects the support from parent in terms of equity to continue, going forward.

Good asset quality

The asset quality continues to remain satisfactory. Gross non-performing asset (GNPA) stood at 0.96% as on June 30, 2023 as against 0.94%, respectively, as on March 31, 2023 (March 31, 2022: 0.95%). The outstanding OTR assets stood at ₹6.19 crore as on March 31, 2023 and ₹5.59 crore as on June 30, 2023, which formed around 0.89% & 0.75% of AUM, respectively. As a result, total net stressed assets (net NPA [NNPA] + net restructured) stood at 1.54% as on March 31, 2023 as against 2.69% as on March 31, 2022.

Though the asset quality remained comfortable, the portfolio seasoning continues to remain low considering the longer tenure nature of its loan assets and its asset quality performance through different economic cycles and geographies is yet to be established. Going forward, CARE Ratings will continue to monitor the ability of the company to maintain asset quality considering the expansion in new regions would be critical to the earnings profile of the company. With loans primarily towards the needs of the self-employed customers in the informal low and middle-income segment asset quality metrics is highly susceptible to the impact of any economic downturn.

Key weaknesses**Limited track record and small scale of operations with geographically concentrated portfolio**

IKFHF started operations in FY17 and hence the track record of the company remains limited considering long-term nature of the loan product. Although the AUM has witnessed continuous growth over past few years, the scale of operations continues to remain relatively small with AUM of ₹696 crore (₹749 crore as on June 30, 2023) and a tangible net worth (TNW) of ₹142 crore as on March 31, 2023 (June 30, 2023: ₹151 crore). Though the company has presence in Maharashtra and Gujarat, the portfolio remains concentrated in South India with Telangana constituting for 39% of the portfolio outstanding as on March 31, 2023 (37% as on June 30, 2023). Southern states (Telangana, Andhra Pradesh, Tamil Nadu and Karnataka) contribute to 77% of AUM as on March 31, 2023. CARE Ratings expects the portfolio to remain concentrated in the south Indian states in the medium term.

Concentrated resource and funding profile

Majority of the new borrowings during FY23 have come in the form of term loans from banks and NBFCs. The share of borrowings through term loans from banks has increased from 49% as on March 31, 2022 to 56% as on March 31, 2023. The share of term loans from NBFCs has increased from 14% as on March 31, 2022, to 26% as on March 31, 2023. The share of NHB and NCD has come down from 10% and 27% as on March 31, 2022, to 4% and 14% as on March 31, 2023. The share of term loans from banks, term loans from NBFCs, NHB and NCD stood at 57%, 26%, 11% and 5%, respectively, as on June 30, 2023. The company, being a subsidiary of IKF, gets support in availing funds from large banks and financial institutions using parent's relationship. Also,

to manage the loan against property (LAP) portfolio, the company is considering the co-lending option which might help to improve its spread and maintain profitability.

Inherent risk associated with borrower class

IKFHF is primarily lending towards the needs of the self-employed customers in the informal low and middle-income segments. The company is lending at average yield of 16% and as the segment is highly susceptible to the impact of any adverse economic downturn, the inherent risk associated with this customer profile remains. As on June 30, 2023, 73% were self-employed and remaining 27% were salaried segment. CARE Ratings will continue to monitor the ability of the company to limit credit costs while maintaining the sustainable yield and good asset quality while increasing the scale of operations.

Liquidity: Adequate

As per asset liability maturity (ALM) submitted by the company, the company faces negative cumulative mismatch across buckets within 1 year which is a characteristic of the HFCs wherein loans extended to borrowers have long tenure against comparatively shorter tenure of liabilities owing to lack of availability of equally maturing long-term funds. As on June 30, 2023, the company had ₹5.48 crore of unencumbered cash balance and ₹110 crore of unutilised sanctions. Considering the collections (including prepayments) along with cash balance, unutilised limits and need-based support from the parent, IKF, the company is expected to manage its liquidity.

Environment, social, and governance (ESG) risks: NA

Applicable criteria

[Policy on default recognition](#)

[Factoring Linkages Parent Sub JV Group](#)

[Financial Ratios - Financial Sector](#)

[Rating Outlook and Credit Watch](#)

[Housing Finance Companies](#)

[Policy on Withdrawal of Ratings](#)

About the company and industry

Industry classification

Macro-economic Indicator	Sector	Industry	Basic Industry
Financial Services	Financial Services	Finance	Housing Finance Company

Incorporated in 2002 as IKF Financial Services Private Limited, IKF is registered as a Housing Finance Company (HFC) and is primarily engaged in providing home loan products/refinance solutions. The company has presence across the states of Andhra Pradesh, Telangana, Karnataka, Tamil Nadu, Maharashtra and Gujarat. IKFHF has an AUM of ₹696 crore and has 29% of its portfolio to the salaried segment and the rest towards self-employed segment as on June 30, 2023. The company was initially promoted by the promoters of IKF. However, the company was acquired by IKF in December 2018. IKF is the group's major asset financing company and non-deposit taking NBFC primarily engaged in the business of commercial vehicle, construction equipment and SME segment financing. IKF. holds 89.13% stake in the company while the balance shareholding lies with the promoters as on March 31, 2023.

Brief Financials (₹ crore)	March 31, 2022 (A)	March 31, 2023 (A)	Q1FY24 (UA)
Total operating income	52.60	92.61	34.72
PAT	10.00	10.72	7.39
Interest coverage (times)	1.63	1.38	2.18
Total assets	412	683	744
Net NPA (%)	0.55	0.59	0.68
ROTA (%)	3.12	1.96	4.18

A: Audited UA: Unaudited; Note: 'the above results are latest financial results available'

Status of non-cooperation with previous CRA: Not Applicable

Any other information: Not applicable

Rating history for last three years: Please refer Annexure-2

Covenants of rated instrument / facility: Detailed explanation of covenants of the rated instruments/facilities is given in Annexure-3

Complexity level of various instruments rated: Annexure-4

Lender details: Annexure-5

Annexure-1: Details of instruments/facilities

Name of the Instrument	ISIN	Date of Issuance (DD-MM-YYYY)	Coupon Rate (%)	Maturity Date (DD-MM-YYYY)	Size of the Issue (₹ crore)	Rating Assigned along with Rating Outlook
Non-convertible debentures – I & II	INE02VP08041	31-Aug-23	10.85%	31-Aug-26	60.00	CARE A-; Stable
Non-convertible debentures – I	INE02VP07016*	12-Jun-20	11.15%	12-Jun-23	0.00	Withdrawn
Non-convertible debentures – I	INE02VP07024*	29-Jun-20	11.00%	29-Jun-23	0.00	Withdrawn
Non-convertible debentures – I	INE02VP07032*	23-Jul-20	11.00%	23-Jul-23	0.00	Withdrawn
Non-convertible debentures – I	INE02VP07040*	31-Jul-20	10.11%	31-Jul-23	0.00	Withdrawn
Non-convertible debentures – I	INE02VP07057*	31-Jul-20	10.50%	31-Jul-23	0.00	Withdrawn
Subordinated debt	-	-	-	-	0.00	Withdrawn
Fund-based - LT-Cash credit		-	-	-	40.00	CARE A-; Stable
Fund-based - LT-Term loan		-	-	Jul-33	1010.00	CARE A-; Stable

* Company has redeemed the instrument

Annexure-2: Rating history for the last three years

Sr. No.	Name of the Instrument/Bank Facilities	Current Ratings			Rating History			
		Type	Amount Outstanding (₹ crore)	Rating	Date(s) and Rating(s) assigned in 2023-2024	Date(s) and Rating(s) assigned in 2022-2023	Date(s) and Rating(s) assigned in 2021-2022	Date(s) and Rating(s) assigned in 2020-2021
1	Fund-based - LT-Term loan	LT	1010.00	CARE A- ; Stable	-	1)CARE A- ; Stable (04-Oct-22)	1)CARE A- ; Stable (05-Oct-21)	1)CARE A- ; Stable (14-Oct-20)
2	Fund-based - LT-Cash credit	LT	40.00	CARE A- ; Stable	-	1)CARE A- ; Stable (04-Oct-22)	1)CARE A- ; Stable (05-Oct-21)	1)CARE A- ; Stable (14-Oct-20)
3	Debentures-Non-convertible debentures	LT	10.00	CARE A- ; Stable	-	1)CARE A- ; Stable (04-Oct-22)	1)CARE A- ; Stable (05-Oct-21)	1)CARE A- ; Stable (14-Oct-20) 2)CARE A- ; Stable (12-Jun-20)
4	Debentures-Non-convertible debentures	LT	50.00	CARE A- ; Stable	-	1)CARE A- ; Stable (04-Oct-22)	1)CARE A- ; Stable (05-Oct-21)	1)CARE A- ; Stable (22-Jan-21)
5	Debt-Subordinate debt	LT	-	-	-	1)CARE A- ; Stable (04-Oct-22)	1)CARE A- ; Stable (05-Oct-21)	1)CARE A- ; Stable (22-Jan-21)

*Long term/Short term.

Annexure-3: Detailed explanation of covenants of the rated instruments/facilities : NA**Annexure-4: Complexity level of the various instruments rated**

Sr. No.	Name of the Instrument	Complexity Level
1	Debentures-Non-convertible debentures	Simple
2	Debt-Subordinate debt	Simple
3	Fund-based - LT-Cash credit	Simple
4	Fund-based - LT-Term loan	Simple

Annexure-5: Lender detailsTo view the lender wise details of bank facilities please [click here](#)

Note on the complexity levels of the rated instruments: CARE Ratings has classified instruments rated by it on the basis of complexity. Investors/market intermediaries/regulators or others are welcome to write to care@careedge.in for any clarifications.

Contact us

Media Contact Mradul Mishra Director CARE Ratings Limited Phone: +91-22-6754 3596 E-mail: mradul.mishra@careedge.in Relationship Contact Aakash Jain Director CARE Ratings Limited Phone: 020 40009001 E-mail: aakash.jain@careedge.in	Sudhakar P Director CARE Ratings Limited Phone: +91-44-2850 1003 E-mail: p.sudhakar@careedge.in Ravi Shankar R Associate Director CARE Ratings Limited Phone: +91-44-2850 1016 E-mail: ravi.s@careedge.in Harikrishnakumar Balasubramaniam Lead Analyst CARE Ratings Limited E-mail: harikrishnakumar.b@careedge.in
--	---

About us:

Established in 1993, CARE Ratings is one of the leading credit rating agencies in India. Registered under the Securities and Exchange Board of India, it has been acknowledged as an External Credit Assessment Institution by the RBI. With an equitable position in the Indian capital market, CARE Ratings provides a wide array of credit rating services that help corporates raise capital and enable investors to make informed decisions. With an established track record of rating companies over almost three decades, CARE Ratings follows a robust and transparent rating process that leverages its domain and analytical expertise, backed by the methodologies congruent with the international best practices. CARE Ratings has played a pivotal role in developing bank debt and capital market instruments, including commercial papers, corporate bonds and debentures, and structured credit.

Disclaimer:

The ratings issued by CARE Ratings are opinions on the likelihood of timely payment of the obligations under the rated instrument and are not recommendations to sanction, renew, disburse, or recall the concerned bank facilities or to buy, sell, or hold any security. These ratings do not convey suitability or price for the investor. The agency does not constitute an audit on the rated entity. CARE Ratings has based its ratings/outlook based on information obtained from reliable and credible sources. CARE Ratings does not, however, guarantee the accuracy, adequacy, or completeness of any information and is not responsible for any errors or omissions and the results obtained from the use of such information. Most entities whose bank facilities/instruments are rated by CARE Ratings have paid a credit rating fee, based on the amount and type of bank facilities/instruments. CARE Ratings or its subsidiaries/associates may also be involved with other commercial transactions with the entity. In case of partnership/proprietary concerns, the rating/outlook assigned by CARE Ratings is, inter-alia, based on the capital deployed by the partners/proprietors and the current financial strength of the firm. The ratings/outlook may change in case of withdrawal of capital, or the unsecured loans brought in by the partners/proprietors in addition to the financial performance and other relevant factors. CARE Ratings is not responsible for any errors and states that it has no financial liability whatsoever to the users of the ratings of CARE Ratings. The ratings of CARE Ratings do not factor in any rating-related trigger clauses as per the terms of the facilities/instruments, which may involve acceleration of payments in case of rating downgrades. However, if any such clauses are introduced and triggered, the ratings may see volatility and sharp downgrades.

**For the detailed Rationale Report and subscription information,
please visit www.careedge.in**